



Australian Government
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Customer identification: Know your customer (KYC)

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As a reporting entity you must apply customer identification procedures to all your customers. Part B of your [AML/CTF program](#) is solely focused on these 'know your customer' (KYC) procedures.

You must document the customer identification procedures you use for different types of customers. The procedures you use must be based on the level of money laundering/terrorism financing risk that different customers pose.

You must check a customer's identity by collecting and verifying information before providing any [designated services](#) to them. You must identify both individual customers (people) and non-individual customers (such as companies, associations or trusts).

After checking a customer's identity you must be satisfied that:

- an individual customer is who they claim to be
- a customer who is not an individual is a real entity (a business or organisation that actually exists) and you know the details of its [beneficial owners](#).

KYC and being familiar with your customers' typical financial transactions makes you aware of any unusual or suspicious activity and reduces the risk of your business or organisation being exploited for money laundering or terrorism financing purposes.

Customer identification and your AML/CTF program



Part B of your AML/CTF program must include:

- how you collect and verify KYC information

- how you collect and verify information about the beneficial owners of your customers
- how you identify customers who are politically exposed persons (PEPs) or who have beneficial owners who are PEPs
- how you respond to discrepancies you find when verifying information you have collected
- the risk-based systems and controls you use to work out whether you need to collect and/or verify further customer information
- how you collect and verify information about agents acting for a customer, including details of the risk-based systems you use to do this.

Minimum customer identification and verification requirements



The identity information you must collect and verify depends on the type of customer and the level of ML/TF risk posed by the customer.

For **individual customers**, this information includes, as a minimum requirement, their full name as well as either their residential address or date of birth. There are procedures for identifying customers who do not have conventional forms of identification in rare circumstances.

For **customers who aren't individuals**, you must collect information so that you are reasonably satisfied the customer actually exists. For example, if the customer is a company in Australia you must collect and verify information including the full name of the company, whether it is registered with the Australian Securities & Investments Commission (ASIC) as a public or proprietary company, and its Australian Company Number (ACN) or Australian Registered Body Number (ARBN).

Information about a customer can be verified using reliable and independent documents or reliable and independent electronic data or a mix of both.

Timeframes for identifying customers and beneficial owners



You must complete most of your applicable customer identification procedures **before** you provide any designated services to the customer. This applies to both one-off transactions and ongoing business relationships.

The required timeframe for identifying the beneficial owner of a customer and whether the customer or beneficial owner is a politically exposed person is different. You must do this either before you provide the designated service or as soon as possible afterwards.

‘Safe harbour’ customer verification procedures for medium or lower risk individuals



You may use ‘safe harbour’ procedures to verify your customer’s identity if they are an individual and you have assessed their money laundering and terrorism financing risk as medium or low. These checks are less stringent than those required for high risk customers. You must still verify their full name, and, depending on which you collected, either their date of birth or residential address.

You can use either reliable and independent documents or electronic data to verify the identity of your medium or low risk customer.

For documents, you must use original or certified copies of primary or secondary documents. For electronic data, you must use at least two separate data sources to verify customer information. This can include records from credit reporting agencies.

Simplified verification procedures for companies



The simplified company verification procedure only applies if you can confirm the company is one of the following:

- a domestic (registered in Australia) company, listed on an Australian stock exchange
- a majority-owned subsidiary of a domestic company listed on an Australian stock exchange

- licensed and regulated by a Commonwealth, state or territory government regulator.

Documents obtained from at least one of the following will confirm this and can be used as verification:

- searching the relevant domestic stock exchange
- a public document issued by the company (such as an annual report)
- searching a relevant Australian Securities and Investments Commission (ASIC) database
- searching the licence or other records of the relevant regulator.

Simplified verification procedures for trusts



The simplified trust verification procedure only applies if you can confirm the trust is one of the following:

- a managed investment scheme registered by ASIC
- an unregistered managed investment scheme that only has wholesale clients and does not make small scale offerings
- a trust registered with and regulated by an Commonwealth Government regulator
- a government superannuation fund established under legislation.

Confirming that your customer fits one of the above criteria is sufficient verification.

Discrepancies in customer information



You must have risk-based systems and controls in place to deal with discrepancies you notice while verifying customer information, such as if someone's name on their passport doesn't match the name they gave you, or the name of a director provided by a company doesn't appear on the company search extract. If you notice

inconsistencies, you should collect more information from your customer. The procedures you document to deal with this situation must be appropriate for your business or organisation.

Does customer identification information need to be in English?



If a customer gives you identification documents in a language other than English, you should use an accredited translator to translate them into English, unless you or an employee understand the language used. In that case, you can translate the document/s into English yourself, but you should keep a record for other employees and to show AUSTRAC.

Related pages

[Money laundering/terrorism financing risk assessment](#)

[Customer identification and verification](#)

[Beneficial owners](#)

[Politically exposed persons \(PEPs\)](#)

[Assisting customers who don't have standard forms of identification](#)

[Reliable and independent documentation and electronic data](#)

[Source of funds and source of wealth](#)

Related legislation

Part 1.2.1 of the [AML/CTF Rules \(latest version\)](#) – Key terms and concepts: see definition of KYC information

Part 1.2.1 of the [AML/CTF Rules \(latest version\)](#) – Key terms and concepts: see definition of primary non-photographic identification document

Part 1.2.1 of the [AML/CTF Rules \(latest version\)](#) – Key terms and concepts: see definition of primary photographic identification document

Part 1.2.1 of the [AML/CTF Rules \(latest version\)](#) – Key terms and concepts: see definition of reliable and independent documentation

Part 1.2.1 of the [AML/CTF Rules \(latest version\)](#) – Key terms and concepts: see definition of secondary independent documentation

Part 2, Division 4 (sections 32 to 34) of the [AML/CTF Act \(latest version\)](#) – Identification procedures etc

Part 2, Division 5 (sections 35) of the [AML/CTF Act \(latest version\)](#) – Verification of identity etc

Part 2, Division 5A (sections 35A to 35L) of the [AML/CTF Act \(latest version\)](#) – Use and disclosure of personal information for the purposes of verifying an individual's identity

Part 2, Division 7 (sections 37 to 39) of the [AML/CTF Act \(latest version\)](#) – General provisions

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